

in buying stocks. The cliché about being able to make only 100 per cent on the short side, while the sky's the limit on the long side, sometimes lurks in the background.

The criteria for a good short sale are in some sense the reverse of the criteria for a good buy—deteriorating fundamentals, substantial premium to book, high multiple, low yield. Having said all that, I must admit that the short side of the firm's portfolio often looks like "Who's Who in Corporate America." We pay great attention to relative price action and, therefore, often find ourselves shorting the strongest stocks—the institutional favorites. At the least, this approach is not conducive to a tranquil lifestyle.

TURNOVER AND TRADING

In terms of relative turnover, ours is simply "off the page." We manage about \$185 million and, although we do not pay high commission rates, we have generated approximately \$15 million a year in commissions. At times, in attempting to justify what seems like frenetic activity, I've thought about a theory of circularity: If you're a major brokerage client, you receive the best research call, the greatest liquidity and the largest underwriting allotments; thus there is a greater comfort in responding to nuance, in making judgments based upon incomplete data—which is in a real sense what this business is about.

*Selling short . . . is psychologically unnerving
and takes a greater degree of discipline than
that needed in buying stocks.*

Moreover, via active trading you achieve a feel for the market that cannot be attained in any other way. Along these